ISI STEEL

STRATEGY DAY 2027

Pillar 4 · Productivity and Operational Excellence

Supply Chain initiatives · ELT Lead: Pheakdey · LT Lead: Chandy

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Three commitments for 2027

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Each one cuts what it costs us to get steel to the customer, or how long the customer waits for it.

1.1
Regional distribution centres

≥10%

lower cost-to-serve per ton vs 2026

11 branches to 2 DCs. Study and decision in 2027, savings from 2028.

1.2
Fleet cost-to-serve

–5%

outbound transport cost per ton-km

Apr–Aug 2027 vs 2026. Fuel control, contracts, own fleet vs 3PL by lane.

3.2
ISI Live Delivery

0 days

from order capture to stock commit in SAP

Today 2 to 3 days. Plus ETA, live tracking and digital proof of delivery.

All three due Sep 2027. They feed the Pillar 4 KPIs: Net Profit $18m, Productivity Savings ≥$2m, Process Improvement ≥90%.

Where we start: 2026 baseline

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11

provincial branches served from the factory DC

Pre-work, initiative 1.1

2–3 days

lag from order capture to stock commit in SAP (manual cut-off)

Pre-work, initiative 3.2

17k–31k t

steel delivered per month from the SSK factory, Jan–Aug 2026

SAP MB51 goods issues

~24,000 L

fuel per month, own trucks and forklifts (10,300 L logged in 13 days)

Fuel Refill records, 26 Sep – 8 Oct 2026

Already live

- Delivery Journey app: Gate In, Gate Out, 1 km arrival check, proof of delivery, two-way rating
- Fuel Refill app: every refill with odometer and pump photo, reviewed

Still missing

- 2026 cost per ton-km by lane, own fleet and 3PL
- Cost-to-serve per branch

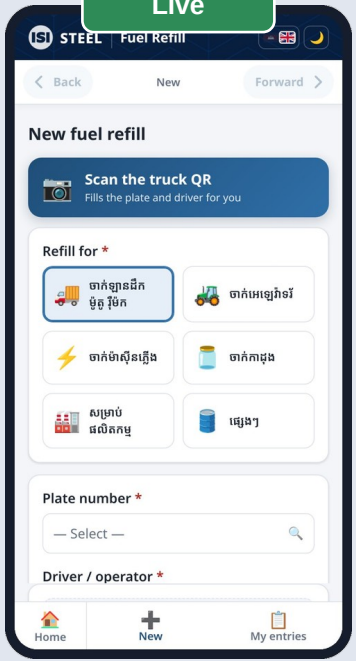
Baselines to be validated with Finance by Jan 2027

Already running: our own apps on every phone

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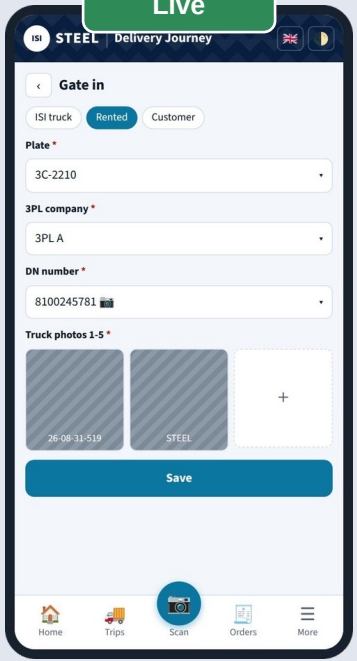
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Live



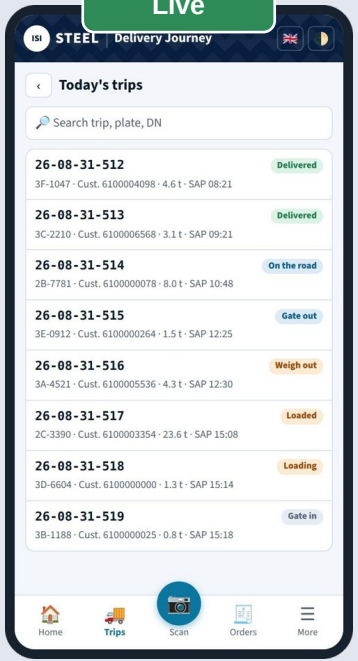
Fuel refill: truck QR, odometer and pump photo

Live



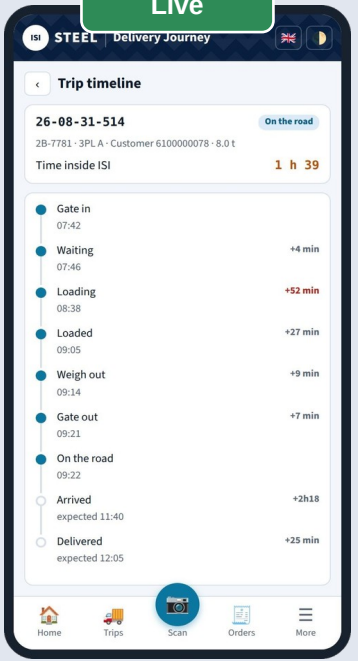
Gate In: plate, 3PL, DN and truck photos

Live



Today's trips: every truck's status

Live



Trip timeline: time spent at each step

Built in-house in 2026, free to run on Google Sheets. Screens shown with sample data.

1.1 Regional DCs: 11 branches to 2 DCs

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Why

- Serving 11 branches one by one from the factory means many small, long trips
- Two regional DCs next to the factory DC put stock closer to customers
- Shorter lead time for customers, fuller trucks for us

≥10%

lower cost-to-serve per ton vs 2026, in the Finance-validated business case. Realised from 2028.

2027 is study and readiness only. Execution in 2028.

Feb — **Network study done**
volume by province, cost-to-serve per branch, customer lead time

May — **Decision gate**
go or no-go with management

Jun — **2 sites shortlisted**
and recommended

Jul — **Customer transition plan**
approved; Sales co-owns

Aug — **SAP readiness**
Regional DC 1 and 2 set up in SAP

2028 — **Execution**
DCs open, customers move

1.2 Fleet cost-to-serve: four levers

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Control fuel

Tender the fuel supply. Fleet card per vehicle with litre limits. Monthly check of card litres against GPS km.

Pay per km

Cost-per-km contract with an uptime SLA. Term and fleet size adjustable, signed after the own-fleet vs 3PL decision.

Right truck per lane

Cost per ton-km by route and vehicle. Lane-by-lane review: own fleet or 3PL, whichever is cheaper.

Manage 3PL

Re-tender 3PL on the cost-per-ton-km baseline. Monthly 3PL scorecard: cost, on-time, damage, customer rating.

–5%

outbound transport cost per ton-km, Apr–Aug 2027 vs 2026

How we measure

Cost per ton-km = total outbound transport cost ÷ (tons delivered × km driven)

Data comes from the Fuel app, Delivery Journey trips (tons and km) and Finance cost.

Why fuel control comes first

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What the first weeks of the Fuel Refill app already show (26 Sep – 8 Oct 2026)

1 in 6

refills had a fake odometer reading

0, 1, 100 or 123456 typed in. Without real km we cannot measure km per litre.

100 / 150 L

fixed amounts, not full tank

Drivers fill round numbers, so litres per trip cannot be checked against distance.

35

trucks and drivers logging

One record per refill with photos and GPS, reviewed daily. The data base for a fleet card check.

Fleet card + GPS km closes this gap: litres are capped per vehicle and checked against real distance every month.

3.2 ISI Live Delivery: order-to-door visibility

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The customer journey we will deliver by Sep 2027

Order captured

SAP commits stock at once. Today: 2–3 days

Build

Loading

Gate In, loading and DN scan in the app

Live

Gate Out

Customer gets ETA by Telegram or SMS

Build

On the road

Live map link, like a food-delivery app

Build

Arrival

GPS geofence confirms delivery

Partly live

Proof of delivery

Digital POD with photo and signature

Live

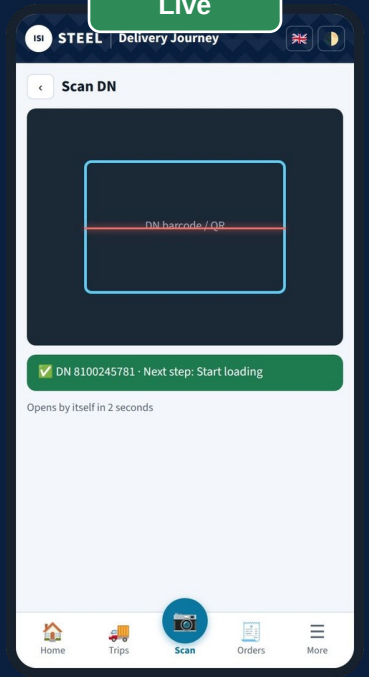
Head start: the Delivery Journey app already records Gate In, loading, Gate Out, a 1 km arrival check and proof of delivery. 2027 adds the SAP stock commit, customer messages and the live map.

Dependency: the truck flow platform must reach all sites by Apr 2027.

Next: what customers and 3PL will see

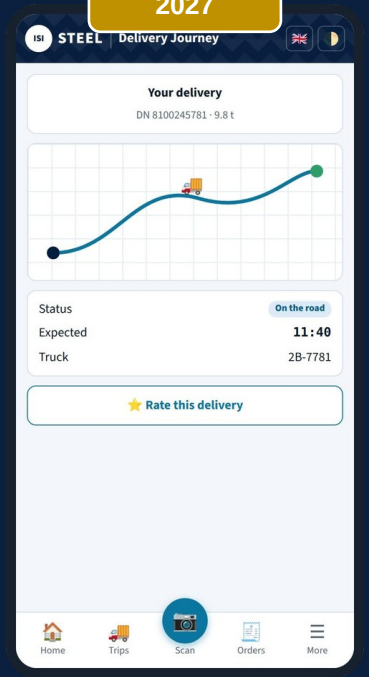
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Live



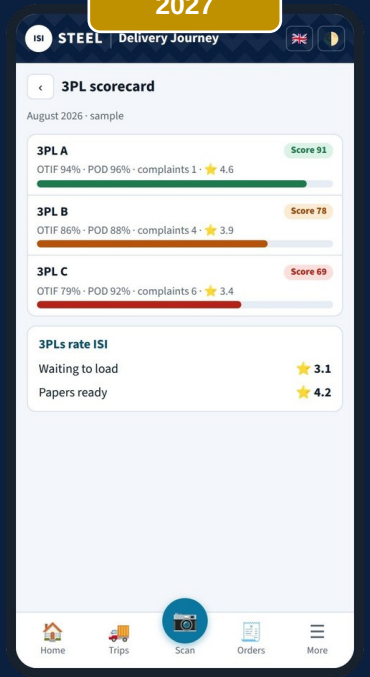
Scan the DN: next step opens by itself

2027



Customer tracking link with ETA (3.2)

2027



3PL scorecard: OTIF, POD, complaints (1.2)

3.2 Live Delivery: how we will measure it

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0 days

order capture to stock commit in SAP

from Jun 2027 (today 2–3 days)

100%

deliveries with digital proof of delivery

by Sep 2027

100%

deliveries send the customer a live tracking link at Gate Out

by Sep 2027

–50%

customer calls to Sales asking for delivery status

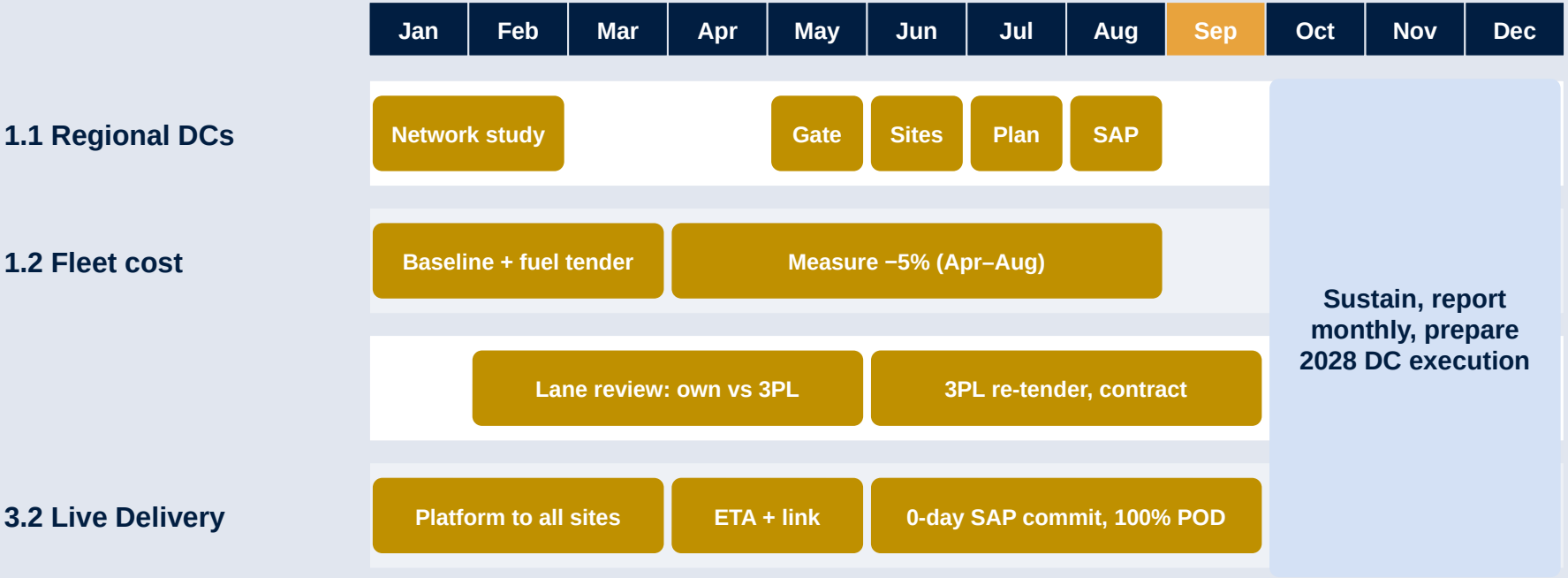
vs Q4 2026

Baseline for customer status calls to be counted by Sales in Q4 2026.

2027 roadmap

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All three initiatives due Sep 2027 (gold). Monthly progress review with Chandy.

What we need from management

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Finance	Validate the 2026 baselines (cost per ton-km, cost-to-serve per branch) by Jan 2027 and the DC business case
Sales	Co-own the DC customer transition; collect customer phone numbers for ETA messages; count status calls from Q4 2026
IT / SAP	Stock commit at order capture (Jun 2027) and SAP setup for Regional DC 1 and 2 (Aug 2027)
Procurement + budget	Fuel tender, fleet cards, GPS devices for own trucks, SMS cost, 3PL re-tender

Key risks

- No reliable 2026 baseline: we fix it in Q1 with Finance and app data
- Drivers and 3PL slow to adopt apps: training, daily review, scorecard
- SAP change takes longer: start the IT request in Jan



Lower cost to serve. Faster, visible delivery.

≥10% cost-to-serve per ton · −5% cost per ton-km · 0-day stock commit

Questions and discussion